

In Table 1.3, you can see that the monthly payment is \$200. In the first month, \$100 of that payment went to the principal and \$100 went to interest. But, importantly, that \$100 toward the principal lowered the amount owed by \$100. So when you calculate the interest for the next month, you find 10% APR of the \$11,900 you still owe and not the \$12,000 that you originally borrowed. This slight difference lowers the monthly interest from \$100 to \$99.

As you make more payments and lower your principal, more money goes toward your principal and less goes toward interest (the total payment remains the same); this is called **amortization**. By the time you make your last payment of \$200, it will be almost entirely principal and nearly no interest.

Because of interest, you are going to end up paying back more than the \$12,000 you borrowed. You will pay back the \$12,000 plus whatever the total interest is. The higher the APR (interest rate), the more money you will have to pay back. When you borrow money, you want the lowest interest rate possible. As you can imagine, high interest rates can be devastating for people, and if you are not careful you can easily end up throwing money away to interest.

How Interest Can Be Incredible

Now that I have shown you its downsides, let me tell you about the kinder side of interest. Just like banks and other lenders make money from giving people loans and charging interest, you can also make money by lending your cash in the form of an investment. There is a whole section of this book that covers investing, so for now, I will briefly cover the beauty of **compound interest** when it is working in your favor. On this subject Albert Einstein reportedly said, “Compound interest is the eighth wonder of the